

Incoterms & International Trade Terms Guide

Who is responsible for what, and at which stage, under each internationally recognized trade term.

1. What Incoterms Are and Why They Matter

Incoterms are a set of eleven standardized three-letter trade terms, published and periodically updated by the International Chamber of Commerce, that define how the costs, risks, and responsibilities of an international shipment are divided between a seller and a buyer. Each term answers three practical questions for a given transaction: who arranges and pays for transport at each stage of the journey, at what physical point does risk of loss or damage pass from seller to buyer, and who is responsible for export and import customs clearance. Because a sale contract can specify any one of the eleven terms, and because the terms differ substantially in how much of the journey the seller is responsible for, the Incoterm named in a contract has a direct effect on pricing, insurance arrangements, and where disputes are likely to arise if something goes wrong in transit.

It is worth being precise about what Incoterms do not cover, since this is a common source of confusion. Incoterms govern the delivery of goods between seller and buyer, not the transfer of ownership (title) of the goods, and not the terms of payment. A contract can specify, for example, that risk transfers to the buyer once goods are loaded on board a vessel, while ownership of the goods only transfers once payment is received under a letter of credit — the two are governed by separate contractual mechanisms and should not be assumed to move together simply because a particular Incoterm has been agreed.

2. Incoterms at a Glance

The table below summarizes all eleven Incoterms 2020 rules, grouped by the transport modes they apply to, along with the point at which risk transfers from seller to buyer and who is responsible for arranging main carriage. Later sections explain each group in more depth.

Table 1 — Incoterms 2020 Rules at a Glance

Term	Full Name	Applies To	Risk Transfers To Buyer When...
EXW	Ex Works	Any mode	Goods are made available at the seller's premises
FCA	Free Carrier	Any mode	Goods are handed to the carrier nominated by the buyer
CPT	Carriage Paid To	Any mode	Goods are handed to the first carrier (seller pays freight to destination)
CIP	Carriage and Insurance Paid To	Any mode	Goods are handed to the first carrier (seller pays freight and insurance)
DAP	Delivered at Place	Any mode	Goods arrive ready for unloading at the named destination
DPU	Delivered at Place Unloaded	Any mode	Goods are unloaded at the named destination
DDP	Delivered Duty Paid	Any mode	Goods arrive at destination, import-cleared and duty-paid
FAS	Free Alongside Ship	Sea / inland waterway	Goods are placed alongside the vessel at the port of loading

FOB	Free on Board	Sea / inland waterway	Goods are loaded on board the vessel
CFR	Cost and Freight	Sea / inland waterway	Goods are loaded on board (seller pays freight to destination)
CIF	Cost, Insurance and Freight	Sea / inland waterway	Goods are loaded on board (seller pays freight and insurance)

3. Rules for Any Mode of Transport

Ex Works (EXW)

Ex Works places the minimum possible obligation on the seller of any Incoterm. The seller's only duty is to make the goods available at their own premises — a factory, warehouse, or similar location — packaged and ready for collection; the seller is not even responsible for loading the goods onto the buyer's collecting vehicle unless the contract specifically says otherwise. From that point forward, the buyer arranges and pays for every subsequent stage: inland transport to the port or airport, export clearance in the seller's country, main carriage, import clearance, and final delivery. Because the buyer is handling export formalities in a country that is not their own, EXW is generally more practical for domestic or regional transactions, or for buyers who already have an established freight forwarder and customs presence in the seller's country, than for a first-time buyer unfamiliar with the seller's local export requirements.

Free Carrier (FCA)

Under Free Carrier, the seller delivers the goods, cleared for export, to a carrier or other party nominated by the buyer at a named place. That named place matters: if it is the seller's own premises, the seller is responsible for loading the goods onto the collecting vehicle; if it is any other location, such as a carrier's terminal, the seller is only responsible for making the goods available for unloading, and the party at that location handles the unloading itself. FCA is widely regarded as the most workable general-purpose term for containerized shipments where the buyer wants control over main carriage but the seller is better positioned to handle export clearance in their own country — a common arrangement in practice.

Carriage Paid To (CPT) and Carriage and Insurance Paid To (CIP)

CPT and CIP are a matched pair: both require the seller to contract and pay for carriage to a named destination, but risk actually transfers to the buyer much earlier, at the point the goods are handed to the first carrier in the transport chain. This split — seller pays the freight bill, but buyer bears the risk for the entire main carriage — is one of the most misunderstood features of these two terms, and contracts should be explicit about the named place of delivery (where risk transfers) versus the named place of destination (where the seller's paid transport ends) to avoid disputes. CIP additionally requires the seller to obtain cargo insurance, and the Incoterms 2020 revision raised the required CIP insurance coverage to a higher level than under earlier versions of the rules, reflecting its intended use for higher-value or more sensitive cargo; CPT carries no such insurance obligation on the seller at all.

Delivered at Place (DAP), Delivered at Place Unloaded (DPU), and Delivered Duty Paid (DDP)

These three terms sit at the opposite end of the spectrum from Ex Works: the seller bears responsibility for nearly the entire journey. Under DAP, the seller delivers when the goods arrive at the named destination, ready for unloading, with the buyer handling unloading and import clearance. DPU goes one step further and requires the seller to unload the goods at the destination as well — the only Incoterm that places an unloading obligation on the seller — while import clearance remains the buyer's responsibility. DDP places the maximum obligation on the seller of any Incoterm: the seller is responsible for the entire journey through to import clearance and duty payment in the buyer's

own country, handing over goods that are fully cleared and ready for use. Sellers agreeing to DDP should have a genuine operational capability to clear goods through customs in the destination country, since unfamiliarity with a foreign country's import procedures, licensing requirements, or duty structure is a frequent source of delay and unplanned cost under this term specifically.

4. Rules for Sea and Inland Waterway Transport

The remaining four terms apply only to shipment by sea or inland waterway, and all four use the ship's rail or, more precisely under current rules, the point of loading on board the vessel, as the reference point for risk transfer. They are not appropriate for containerized cargo delivered to a carrier's inland container yard before it reaches the vessel, since the seller in that situation loses practical control over the goods well before the risk-transfer point the term describes — FCA, CPT, or CIP are the more appropriate choice for such shipments.

Free Alongside Ship (FAS)

Under FAS, the seller delivers when the goods are placed alongside the vessel nominated by the buyer at the named port of loading — on the quay or in a barge, for example — with risk transferring to the buyer at that point, before the goods are actually loaded on board. FAS is most commonly seen in the bulk commodity trade, such as grain or ore shipped in non-containerized form, where cargo is genuinely placed alongside a vessel for loading by port equipment rather than delivered in a container.

Free on Board (FOB)

Free on Board is one of the most widely used and, in casual usage, most widely misapplied Incoterms in international trade. Properly, FOB applies to sea or inland waterway shipment only, and delivery occurs — with risk transferring to the buyer — once the goods are loaded on board the vessel at the named port of shipment. The seller bears the cost and risk of getting the goods on board; the buyer bears cost and risk from that point forward, including main carriage, unless the parties separately agree the seller will also pay freight (which does not change where risk transfers). A persistent point of confusion is that many businesses use 'FOB' loosely to describe any shipment where the seller pays to get goods to a port, including containerized cargo delivered to a container terminal well before vessel loading — which is properly an FCA arrangement. Using FOB terminology for a containerized shipment can leave real ambiguity over exactly when risk transferred if a container is damaged or lost between the terminal gate and the vessel.

Cost and Freight (CFR) and Cost, Insurance and Freight (CIF)

CFR and CIF mirror the CPT/CIP pairing but for sea and inland waterway transport specifically. Under both, the seller pays the cost of carriage to the named port of destination, but risk transfers to the buyer at the same point as under FOB — once the goods are loaded on board the vessel at the port of shipment — not when the vessel arrives. CIF additionally obliges the seller to obtain cargo insurance for the buyer's benefit, though at a minimum coverage level rather than the higher level required under CIP; buyers who want broader insurance coverage than the Incoterm minimum need to arrange supplementary cover themselves or negotiate an explicit upgrade in the sale contract. CIF remains extremely common in the commodity and bulk shipping trade, where it has a long history and well-established documentary practice, particularly in letter-of-credit transactions.

5. Cost and Risk Responsibility by Stage

The table below breaks the shipment journey into its component stages and shows, for a representative cross-section of terms, whether the seller (S) or the buyer (B) is responsible for each. This is a simplified summary; the full Incoterms 2020 text should be consulted for a specific transaction, particularly where a stage is split between the parties.

Table 2 — Responsibility by Shipment Stage (Selected Terms)

Stage	EXW	FCA	FOB	CIF	DAP	DDP
Export packaging	S	S	S	S	S	S
Loading at seller's premises	B	S*	S	S	S	S
Export customs clearance	B	S	S	S	S	S
Main carriage	B	B	B	S (pays)	S	S
Cargo insurance	B	B	B	S (min.)	S (opt.)	S (opt.)
Import customs clearance	B	B	B	B	B	S
Import duty & taxes	B	B	B	B	B	S
Final delivery / unloading	B	B	B	B	B*	S

* Under FCA, loading responsibility depends on the named place: the seller loads if delivery occurs at the seller's own premises. Under DAP, the buyer is responsible for unloading unless the parties have separately agreed otherwise; DPU is the only term under which the seller unloads at destination.

6. Worked Examples

The following three scenarios walk through how the same shipment — a container of machine parts from a manufacturer in Ahmedabad, India, to a buyer in Rotterdam, Netherlands — plays out differently depending on which Incoterm the sale contract names. The underlying goods, quantity, and route are identical in each case; only the point at which cost and risk shift from seller to buyer changes.

Example A — EXW Ahmedabad

The seller packs the goods and makes them available at the factory gate in Ahmedabad. The buyer arranges its own trucking to the inland container depot, its own export documentation and customs clearance in India, ocean freight to Rotterdam, import clearance in the Netherlands, and final delivery. If the truck collecting the goods is involved in an accident five minutes after leaving the factory, the loss falls entirely on the buyer, because risk transferred the moment the goods were made available at the seller's premises. In practice, few overseas buyers have the local relationships in India needed to self-manage export clearance efficiently, so EXW shipments to distant buyers often end up requiring the seller's informal assistance anyway, even though the contract does not obligate it — a common source of friction when that assistance is assumed but never confirmed in writing.

Example B — FCA Ahmedabad Container Freight Station

The seller now handles trucking to the buyer's nominated container freight station, export customs clearance in India, and loading the container onto the buyer's nominated carrier. Risk transfers once the container is handed over at that station, not at the factory gate. From there, the buyer's freight forwarder takes over: booking the vessel, ocean freight, import clearance in the Netherlands, and final delivery. This is the arrangement most experienced freight forwarders recommend for containerized cargo precisely because it keeps export formalities — which require local knowledge — with the party that has that local knowledge, while giving the buyer full control over the international carriage leg and the associated cost negotiation.

Example C — DDP Rotterdam

The seller now owns the entire journey: trucking, Indian export clearance, ocean freight, Dutch import clearance, duty and VAT payment, and final delivery to the buyer's warehouse door. The buyer's only role is to receive and unload

the goods. This arrangement is attractive to buyers who want a single landed price and no customs exposure, but it requires the seller to either have an EU-registered entity or fiscal representative capable of handling Dutch import VAT, or to work with a customs broker who can do so on its behalf — sellers without either in place frequently underquote the true cost of DDP by overlooking VAT and brokerage fees, and then absorb the shortfall themselves once the shipment is already in transit.

Table 3 — Same Shipment, Three Outcomes

Activity	EXW	FCA	DDP
Inland trucking (India)	Buyer arranges	Seller arranges	Seller arranges
Indian export clearance	Buyer arranges	Seller arranges	Seller arranges
Ocean freight booking	Buyer arranges	Buyer arranges	Seller arranges
Point risk transfers	Factory gate, Ahmedabad	Container freight station, Ahmedabad	Buyer's door, Rotterdam
Dutch import clearance	Buyer arranges	Buyer arranges	Seller arranges
Dutch duty & VAT	Buyer pays	Buyer pays	Seller pays
Seller's practical burden	Lowest	Moderate	Highest

7. Choosing the Right Incoterm

There is no single 'correct' Incoterm for a given trade lane; the right choice depends on which party is better positioned to manage each stage of the journey, how much control each party wants over cost, and how comfortable each party is with the customs and regulatory environment on the other end of the shipment. The questions below are a useful starting checklist before naming a term in a sale contract.

- Is the cargo containerized, or break-bulk / bulk cargo loaded directly onto a vessel? Containerized cargo generally calls for FCA, CPT, or CIP; break-bulk or bulk cargo is where FAS, FOB, CFR, and CIF remain genuinely appropriate.
- Does the buyer have an established customs broker and freight forwarding relationship in the seller's country? If not, EXW places a burden on the buyer it may not be equipped to carry, and FCA is usually the safer starting point.
- Does the seller have a genuine ability to clear goods through customs, and pay duty, in the buyer's country? If not, DDP should be avoided regardless of how attractive it looks to the buyer commercially, since an unfulfillable DDP promise causes far more damage to the relationship than a more modest term negotiated honestly.
- Who is better placed to negotiate freight rates and insurance — the seller, who may ship this lane regularly and have volume-based rates, or the buyer, who may consolidate cargo from several suppliers onto the same vessel? Whichever party has the stronger negotiating position on freight is usually the party who should be contracting for it, which points toward CPT, CIP, CFR, or CIF when it is the seller, and toward FCA or FOB when it is the buyer.
- How is the transaction being financed? Letter-of-credit financing has a long-established documentary practice built around FOB and CIF in particular, and switching to a less familiar term can create friction with the bank's documentation requirements even when the underlying logistics arrangement is sound.

8. Incoterms 2020 — Key Changes from the 2010 Edition

The Incoterms rules are revised by the International Chamber of Commerce roughly once a decade to reflect changes in trading practice; the current edition, Incoterms 2020, took effect on 1 January 2020 and replaced Incoterms 2010. Four changes are worth knowing, particularly for anyone who learned the rules under the earlier edition and has not revisited them since.

- DAT (Delivered at Terminal) was renamed DPU (Delivered at Place Unloaded) and generalized: delivery under the 2010 rule had to occur at a 'terminal,' while DPU permits any named place, provided the seller is able to unload the goods there.
- CIP's minimum insurance requirement was raised from the lower coverage level shared with CIF to a higher level of coverage, reflecting that CIP is more often used for finished or higher-value goods than the bulk commodities typically shipped under CIF.
- FCA now allows the parties to agree that the buyer's carrier will issue an on-board bill of lading to the seller after loading, which helps sellers using FCA satisfy letter-of-credit documentation requirements that traditionally assumed an FOB or CIF shipment.
- The rules now explicitly address arrangements where a party carries the goods using its own means of transport rather than contracting a third-party carrier, a scenario that earlier editions did not directly contemplate.

None of these changes altered the fundamental cost-and-risk allocation of the terms that carried over unchanged — EXW, FCA, FAS, FOB, CFR, CIF, CPT, and DAP function the same way under both editions. A contract that simply says 'Incoterms' without specifying a year defaults, in most jurisdictions, to whichever edition was current when the contract was signed, so referencing the year explicitly — 'FCA Ahmedabad, Incoterms 2020' — remains good practice even though it feels redundant in the near term.

9. Common Mistakes When Using Incoterms

- Using FOB, CFR, or CIF for containerized cargo. These four terms reference loading on board a vessel, which happens well after a container leaves the shipper's control at an inland terminal; FCA, CPT, or CIP describe container shipments far more accurately and avoid ambiguity over when risk actually transferred.
- Omitting the named place or port. An Incoterm without a specific named place — 'FCA' alone, for example, rather than 'FCA Shenzhen Port Container Terminal' — leaves the exact delivery point undefined, which is precisely the detail that determines where risk and cost transfer.
- Assuming an Incoterm governs payment terms or title transfer. Incoterms address delivery, risk, and cost allocation only; when payment is due and when ownership passes are separate matters that need to be addressed elsewhere in the sale contract.
- Agreeing to DDP without the practical ability to clear goods through customs in the buyer's country. A seller with no established import process in the destination country can face significant delay and unplanned expense fulfilling a DDP obligation, even though the term looks straightforward on paper.
- Treating CIF or CIP insurance minimums as sufficient for high-value or fragile cargo. Both terms only require a baseline level of coverage; buyers with higher-value shipments often need to negotiate broader coverage explicitly rather than assume the built-in minimum is adequate.

Compiled from the Incoterms 2020 rules published by the International Chamber of Commerce. This guide is a summary for reference purposes; the full rules text should be consulted, and the named Incoterm confirmed in writing, for any specific transaction.